



Crude Tanker Comments

The VLCC market has gone from strength to strength this week, with gains across both basins. While the Atlantic's rapid ascent has stolen the headlines, the broader story remains one of improving fundamentals across the board. Several USG-East voyages went on subs mid-week, rising from USD 76 Mn to USD 82 Mn in a single day. Whilst two fixtures at USD 76 Mn and USD 77 Mn failed yesterday, others at USD 81 Mn and USD 82 Mn remain on subs. Brazil and WAFR have moved through the gears as well, further showcasing owners' desire to fix Atlantic at current market levels. Three Brazil cargoes were covered yesterday at WS 725 for East discharge, and a TD15 voyage was also agreed at a staggering WS 750. Elevated Suezmax rates have increasingly pushed charterers towards VLCC tonnage, creating additional demand.

East of Suez has been less dramatic but no less constructive. Fujairah-Far East voyages have climbed to WS 840, WS 60 points up on the week, and charterers have begun working further forward dates. Despite heightened safety concerns in the region, activity has remained healthy; the willingness of both owners and charterers to continue conducting business largely "as normal" speaks volumes about underlying market confidence. Overall, the market feels increasingly owner-led; prompt tonnage continues to be chipped away at, and little relief is available from the smaller classes.

Early this week, several of last week's WS 1,000 deals failed, putting several FOC ships back onto the list. After last week's unprecedented rally, charterers decided to allow tonnage to repopulate before coming to market. In WAFR, rates softened to WS 925 on a quoted cargo, but the list remained stubbornly short throughout the week. Once rates had been reset, charterers all began to move, and this influx of enquiry allowed rates to climb again, with WS 1,000 back on subs for a WAFR-UKCM run. The USG has been very quiet on Suezmaxes, and Aframaxes remain the preferred avenue, but given the firmness in the wider Atlantic Basin, TD33 is currently pegged at WS 950.

Guyana has also been noticeably quieter, with a prompt cargo paying WS 950 after the WS 925 ex-WAFR, which represented an improvement given that the two markets are pegged together. CPC rates are also still firm as risk factors remain. The load programme gets its dates next week, and the usual influx of activity is expected, as are firming rates given the continued tightness of the tonnage list. East of Suez remains desolate in comparison to the West, with VLCCs remaining by far the more active segment; a few ships have been done, but all off-market. Still, rates face upwards pressure on the back of the red-hot Atlantic markets.

The Mediterranean Aframax market firmed through the week. A steady Med the previous week gave way to expectations of gains, driven by the sharp US and Suezmax rally. Following TD25's surge, charterers were pushed into action, with WS 750 paid ex-Libya and over 10 cargoes still uncovered. TD19 kept rising midweek as owners pressed for further increases, and on Thursday, rates were still climbing despite a well-supplied tonnage list. TD19 ends the week at WS 780, and sentiment is firm.

In the North Sea, local tonnage initially kept rates grounded, but the prospect of ballasting led numbers to rise sharply; charterers paid to dissuade owners from moving to lucrative surrounding markets, including the Med. On Wednesday, TD7 leapt by WS 100 points on a WC Norway cargo, attracting more owners to the area. Things were quieter on Thursday, but as the US gains traction, further rises are likely. TD7 landed at WS 625 on Friday, though rates are voyage-dependent.

Product Tanker Comments

The main headlines this week for Middle East LR2s are the massive record levels being achieved in the Red Sea. The previous record was about USD 7.5 Mn, set in the first half of 2020 during the Russia-Saudi Arabia price war. On Monday, a significantly higher USD 10 Mn was agreed, and USD 12 Mn was agreed mid-week. These shocking levels demonstrate just how much the West CPP ships can feed off the very active X-Med Afra markets, which are also at new highs. The effects of the Iran war are really starting to show in European stocks, leading the continent to become a greater net importer. This has contributed to a much quieter West LR2 loading market, causing CPP units finding it increasingly tougher to turn down the DPP monies stemming from the very high volume of crude fixing. This has, of course, thinned the fleet of LR2s suitable for Yanbu, which was already very small, anyway.

In WCI and Oman, it has been quieter on the surface, with reports of USD 14 Mn being agreed for Duqm-West; traders are looking to see if there is better value in breaking ULSD stems down to the increasingly bustling MR segment. Rate ideas will only remain robust for Monday, and if there is even "normal" demand next week, rates should only see further gains.

It was a calmer week for AG LR1s, which have seen a slowdown in fresh fixing. This is not a total surprise considering the persistently lean tonnage supply and the fact that LR stems are generally being broken down into MR stems given the significant freight costs which charterers would otherwise face. Ideas amongst those few ships in position are lofty, which comes as no shock. In real terms, TC5 had firmed to WS 550 mid-week, but subsequent rumours have circulated of WS 520 being subbed without details, which does buck the market trend. It would not take many cargoes to push naphtha runs towards the WS 600 mark, in theory. Securing (reasonable) offers for Westbound business has been difficult, and the details for the deals which have been done are under lock and key, but levels can be assessed around USD 10 Mn basis UKC via Bab-el-Mandeb.

Chinese exports halted this week due to the Golden Week holiday, so there will have been some disruption in flows, but on Friday, the country approved the continuation of export of diesel, gasoline, and jet fuel. Industry sources say that, combined, this amounts to around 3.7 Mn T, so October should bring more flows from Asia, maintaining pressure on tonnage supply in the Middle East.

It was a slower week for LR1s in North Asia. MR rates have started to taper off from the highs of last week, and charterers are no longer incentivised to try to upsize onto the larger units. Frankly speaking, the rates which LR2s hit in the Middle East suggest that these owners would have little interest in Far East cargos unless a significant premium were being paid. Moreover, the DPP rates in the East and TMX exports are now paying mind-boggling numbers, luring what few CPP ships there are left into the DPP fleet.

TC2 has been largely stable this week, falling from WS 208 on Monday to WS 201 on Friday. This followed similarly incremental rises in the second half of last week. Still, the outlook is steady, with firming expected next week. TC6 was similarly static in the same period, remaining between WS 343 and WS 353 throughout, with potential gains on the horizon.

		BDTI		BCTI
		7964		2403
Δ W-O-W		↑Firmer		↓Softer
BDA				
(USD/LDT)		TKR/LRG	TKR/MED	TKR/SML
This week		505.6	513.8	516.5
Δ W-O-W		-0.5	-1.2	-1.6
BALTIC TCE DIRTY				
Route		Qty	\$ / Day	W-O-W
TD3C	ME Gulf / China	270,000	1,412,243	↑Firmer
TD7	UKC / UKC	80,000	525,034	↑Firmer
TD15	WAF / China	260,000	762,720	↑Firmer
TD19	Med / Med	80,000	368,066	↑Firmer
TD20	WAF / Cont	130,000	570,375	↑Firmer
TD22	USG / China	270,000	634,974	↑Firmer
TD25	USG / Cont	70,000	308,695	↑Firmer
TD26	EC Mex / USG	70,000	399,604	↑Firmer
TD27	Guyana / UKC	130,000	571,207	↑Firmer
BALTIC TCE CLEAN				
Route		Qty	\$ / Day	W-O-W
TC1	ME Gulf / Japan	75,000	270,681	↑Firmer
TC2	Cont / USAC	37,000	12,700	↓Softer
TC5	ME Gulf / Japan	55,000	193,738	↓Softer
TC6	Algeria / EU Med	30,000	61,356	↑Firmer
TC7	Sing. / ECA	30,000	68,233	↓Softer
TC8	ME Gulf / UKC	65,000	184,976	↑Firmer
TC14	USG / UKC	38,000	31,560	↓Softer
TC17	ME Gulf / EAFR	35,000	113,399	↓Softer
TC20	ME Gulf / UKC	90,000	283,128	↑Firmer
TC21	USG / Caribs	38,000	27,619	↓Softer



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